IPO Analysis Framework

Growth • Risk • Valuation • IPO-Specific Factors

A practical framework for evaluating an Indian IPO. The formulas below are designed for screening and comparison; sector-specific benchmarks should be used before assigning a final score.

1. Growth — Is the Business Growing?

Factor	Formula	What it indicates
Revenue Growth (YoY)	(Current Revenue – Previous Revenue) / Previous Revenue × 100	Sales growth rate.
Profit Growth (YoY)	(Current PAT – Previous PAT) / Previous PAT × 100	Whether profits are growing.
EBITDA Growth	(Current EBITDA – Previous EBITDA) / Previous EBITDA × 100	Growth in operating profitability.
EPS Growth	(Current EPS – Previous EPS) / Previous EPS × 100	Growth in profit attributable per share.
3-Year Revenue CAGR	(Revenue■ / Revenue■)^(1/3) – 1	Longer-term revenue growth.
3-Year PAT CAGR	(PAT■ / PAT■)^(1/3) – 1	Longer-term profit growth.
EBITDA Margin	EBITDA / Revenue × 100	Operating profitability.
PAT Margin	PAT / Revenue × 100	Net profitability.
ROE	PAT / Average Shareholders' Equity × 100	Return generated on shareholders' capital.
ROCE	EBIT / Capital Employed × 100	Efficiency of total capital employed.
Operating Cash Flow Growth	(CFO■ – CFO■) / CFO■ × 100	Whether cash generation is improving.

2. Risk — How Financially and Operationally Risky Is It?

Factor	Formula	What it indicates
Debt-to-Equity	Total Debt / Shareholders' Equity	Financial leverage.
Net Debt	Total Debt – Cash & Cash Equivalents	Net debt burden.
Net Debt / EBITDA	Net Debt / EBITDA	Debt burden relative to operating earnings.
Interest Coverage	EBIT / Interest Expense	Ability to service interest.
Current Ratio	Current Assets / Current Liabilities	Short-term liquidity.
Quick Ratio	(Current Assets – Inventory) / Current Liabilities	Conservative liquidity measure.
CFO / Debt	Operating Cash Flow / Total Debt	Cash generation relative to debt.
CFO / PAT	Operating Cash Flow / PAT	Quality and cash conversion of accounting profits.
Free Cash Flow	CFO – Capital Expenditure	Cash remaining after investment.
FCF / PAT	Free Cash Flow / PAT	Profit conversion into free cash.
Customer Concentration	Largest Customer Revenue / Total Revenue × 100	Dependence on major customers.
Promoter Pledge	Pledged Promoter Shares / Promoter Shares × 100	Potential promoter financial stress.
Contingent Liabilities / Net Worth	Contingent Liabilities / Net Worth × 100	Potential future liability exposure.

3. Valuation — Am I Paying Too Much?

Factor	Formula	What it indicates
P/E	Market Capitalisation / PAT	Price paid for each ■1 of earnings.
P/E per Share	IPO Price / EPS	Per-share version of P/E.
P/B	Market Capitalisation / Book Value	Price relative to net assets.
P/S	Market Capitalisation / Revenue	Price relative to sales.
EV/EBITDA	Enterprise Value / EBITDA	Operating-business valuation.
EV/Sales	Enterprise Value / Revenue	Enterprise valuation relative to sales.
PEG	P/E / Expected EPS Growth %	Valuation relative to expected growth.
Earnings Yield	EPS / IPO Price × 100	Earnings generated per ■ invested.
Price / FCF	Market Capitalisation / Free Cash Flow	Price paid for actual cash generation.
Dividend Yield	Dividend per Share / IPO Price × 100	Cash return through dividends.

4. Relative Valuation

A company's valuation should normally be compared with relevant listed peers and its industry. A high P/E is not automatically bad if earnings growth is substantially higher.

Key Relative Metrics

Factor	Formula	What it indicates
P/E Premium vs Peer	(IPO P/E – Peer Median P/E) / Peer Median P/E × 100	Shows how much valuation premium/discount the IPO commands.
EV/EBITDA Premium vs Peer	(IPO EV/EBITDA – Peer Median) / Peer Median × 100	Operating valuation premium/discount.
PEG	P/E / Expected EPS Growth %	Helps relate valuation to growth.

5. IPO-Specific Factors

Factor	Formula / Definition	Why it matters
Fresh Issue	New shares issued; proceeds go to the company.	Assess whether funds are used for productive purposes such as expansion or debt repayment.
Offer for Sale (OFS)	Existing shareholders sell shares.	Proceeds generally go to selling shareholders rather than the company.
IPO Dilution	New Shares / Post-IPO Shares × 100	Measures ownership dilution from new share issuance.
Post-IPO EPS	Post-IPO PAT / Post-IPO Diluted Shares	Avoid relying only on historical EPS when share count changes.
Enterprise Value	Market Cap + Total Debt – Cash	Required for EV/EBITDA and EV/Sales.

6. Suggested 100-Point IPO Score

Category	Weight	Suggested components
Growth	30	Revenue CAGR 6; PAT CAGR 6; EPS CAGR 4; EBITDA Growth 4; ROE 4; ROCE 3; Cash-flow Growth 3
Risk	30	Debt/Equity 5; Net Debt/EBITDA 4; Interest Coverage 4; CFO/PAT 5; FCF 4; Promoter Pledge 3; Concentration 2; Contingent Liabilities 3
Valuation	30	P/E vs Peers 7; EV/EBITDA vs Peers 5; P/B vs Peers 4; PEG 5; P/S vs Peers 3; Price/FCF 3; Earnings Yield 3
IPO / Management	10	Fresh Issue vs OFS 2; Use of Proceeds 2; Promoter Quality 2; Governance 2; Auditor/Regulatory Issues 2

7. Recommended Main Dashboard Metrics

Growth: Revenue CAGR, PAT CAGR, EBITDA Margin, ROE
Risk: Debt/Equity, Net Debt/EBITDA, Interest Coverage, CFO/PAT
Valuation: P/E, EV/EBITDA, PEG, P/E Premium/Discount vs Peers

Important: Sector context matters. Financial institutions, banks, insurers, asset-heavy companies, and technology companies can have very different appropriate levels for leverage, margins and valuation. Use sector-relative benchmarks rather than universal thresholds.